

Azure Basics for the NYC TLC Ingestion Project (Week 1)

Goal of this doc: Teach you *just enough* Azure — with the "why" behind every step — so you can build the ADF ingestion pipeline yourself AND explain it confidently in an interview. No extra fluff, no features you won't use in this project.

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1. What is "the Cloud" and why does this project use Azure

Forget the marketing language for a second. Here's the plain version:

- A **cloud provider** (Azure, AWS, GCP) is basically **someone else's computers and hard drives**, that you rent by the hour/GB, instead of buying your own servers.
- Instead of buying a physical hard disk to store 1TB of taxi data, you rent storage space on Microsoft's data centers. Instead of buying a powerful server to process that data, you rent "compute power" for the hours you actually use it, then shut it off.

Why this matters for your project specifically: NYC TLC data is huge (~1TB across years). You cannot download, store, and process that on a laptop. Cloud lets you:

- Store huge files cheaply (ADLS Gen2)
- Move files around automatically on a schedule (ADF)

- Process huge files in parallel across many machines (Databricks/Spark)
- Pay only for what you use, and turn it off when done

Why Azure specifically (not AWS/GCP)? No deep technical reason for a portfolio project — Azure is chosen here because it pairs naturally with Databricks (Databricks was co-founded to work great on Azure, called "Azure Databricks") and because ADF is a strong, resume-worthy orchestration tool. In an interview, you can honestly say: *"I picked Azure because ADF + ADLS Gen2 + Azure Databricks is one of the most common enterprise data engineering stacks, and I wanted hands-on experience with tools companies actually use."*

2. Core Azure Building Blocks

Before touching anything, know these 5 words. Every Azure resource you create lives inside this hierarchy:

```
Azure Account (your login)
├── Subscription (billing boundary – "free tier" is a subscription)
│   └── Resource Group (a folder/box that groups related resources)
│       └── Resources (the actual things: storage account, ADF, etc.)
```

Term	What it actually is	Analogy
Subscription	Your billing container. Free tier = one subscription with \$200 credit for 30 days + some always-free services	Your bank account
Resource Group (RG)	A logical folder that holds related resources so you can manage/delete them together	A project folder on your laptop
Region	The physical location of Microsoft's data center (e.g., "Central India", "East US")	Which warehouse your stuff is stored in
Resource	An actual service instance — a storage account, a Data Factory, a VM	A file inside the folder

Why Resource Groups matter for you: At the end of this project, you delete the *whole Resource Group* and everything inside it (storage, ADF, etc.) gets deleted in one click. This is how you avoid getting billed after you're done experimenting — **this is your #1 cost-safety habit.**

Interview tip: If asked "how did you structure your Azure resources," say: *"I created a single resource group for the project so I could manage cost and clean-up centrally — all resources for the pipeline (storage account, Data Factory) lived in one RG."*

3. Setting Up Your Free Azure Account

1. Go to <https://azure.microsoft.com/free> — sign up with a Microsoft account (or create one).

2. You'll need a credit/debit card for identity verification — **you will not be auto-charged** after the free credit unless you manually upgrade.
3. You get:
 - \$200 credit for 30 days (use for VMs, Databricks compute, etc.)
 - Some services free for 12 months
 - Some services **always free** up to a limit
4. Once logged in, you land on the **Azure Portal** (portal.azure.com) — this is the web dashboard (GUI) where you'll click around and create resources.

First thing to do: Create your Resource Group.

- Search bar (top) → type "Resource groups" → + **Create**
- Name: rg-nyctlc-project
- Region: pick the one closest to you (e.g., Central India if you're in Mumbai) — **use the SAME region for every resource in this project.** Different regions = extra data transfer cost + latency, and it looks sloppy in an architecture review.

Why same region matters (interview-worthy point): Data transfer between services in the *same* region is free and fast. Cross-region transfer costs money and adds latency. Always design with a single region unless you have a specific reason (e.g., disaster recovery, data residency laws).

4. Storage: ADLS Gen2

What's the difference between "Blob Storage" and "ADLS Gen2"?

This trips up almost everyone, so here's the plain-English version:

- **Azure Blob Storage** = a giant flat bucket where you dump files. Technically there are no real "folders" — folder-looking paths are just part of the filename (e.g., a file named `raw/2023/01/data.parquet` looks like it's in folders, but it's really one flat namespace pretending to have folders).
- **ADLS Gen2 (Azure Data Lake Storage Gen2)** = Blob Storage + **a real folder system** (called a "hierarchical namespace"), + fine-grained security per folder, + it's built/optimized for big data engines like Spark and Databricks to read efficiently.

Why we use ADLS Gen2 for this project and not plain Blob Storage:

1. Real folders → you can organize `raw/`, `bronze/`, `silver/`, `gold/` zones cleanly (this maps directly to your medallion architecture in Weeks 2-3).
2. Renaming/moving a folder is one fast operation, not thousands of file renames (matters a lot at 1TB scale).
3. Databricks and Spark are built to read ADLS Gen2 natively and efficiently.
4. You can set security permissions per folder (e.g., "raw" folder read-only for some users) —

a real enterprise pattern.

Interview line: *"I used ADLS Gen2 instead of plain Blob Storage because it provides a hierarchical namespace, which lets Spark and Databricks perform directory-level operations efficiently and lets me organize data into medallion zones — raw, bronze, silver, gold — as real folder structures rather than simulated prefixes."*

Containers vs Folders

- A **Storage Account** is the top-level resource (like the whole hard disk).
- Inside it, you create **Containers** (like top-level drives, e.g., C : and D :).
- Inside a container, you create **folders** (only possible because Hierarchical Namespace is ON — that's the "Gen2" part).

Recommended structure for this project:

```
storageaccount: stnyctlcproject
├── container: datalake
│   ├── raw/                                ← Week 1: untouched files landed by ADF, exactly
│   │   └── as downloaded
│   │       ├── yellow_tripdata/
│   │       │   ├── 2023/
│   │       │   │   ├── 01/
│   │       │   │   │   └── yellow_tripdata_2023-01.parquet
│   │       ├── bronze/        ← Week 2: raw data loaded into Delta tables, as-is
│   │       ├── silver/        ← Week 2-3: cleaned, deduped, typed data
│   │       └── gold/           ← Week 3: aggregated, business-ready tables
```

5. Creating Your ADLS Gen2 Account

Step-by-step in the Azure Portal:

1. Search bar → "Storage accounts" → + **Create**
2. **Basics tab:**
 - Resource group: rg-nyctlc-project (the one you made earlier)
 - Storage account name: must be globally unique, lowercase, no spaces (e.g., stnyctlcproj001)
 - Region: same as your resource group
 - Performance: **Standard** (Premium is overkill/expensive for this project)
 - Redundancy: **LRS (Locally Redundant Storage)** — cheapest option, keeps 3 copies within one data center. (GRS/ZRS cost more and replicate across regions — not needed for a portfolio project)
3. **Advanced tab (△ the most important step):**
 - Find "**Enable hierarchical namespace**" → turn this **ON**.
 - This single checkbox is what turns plain Blob Storage into ADLS Gen2. If you forget this, you don't have a data lake — you have a flat bucket.

4. Review + Create → wait ~1 minute for deployment.
5. Once created, go into the storage account → **Containers** (left menu) → + **Container** → name it `data lake`.
6. Inside the container, manually create your `raw` folder (you can do this via the portal's "Add Directory" button, or let ADF create it automatically when the pipeline runs — either is fine).

Cost note: Standard LRS storage costs roughly \$0.02/GB/month (region-dependent) at the "Hot" access tier. For a learning project, this is trivially cheap even at 1TB (~\$20/month if you kept 1TB sitting there for a full month — but you'll likely process and reduce/aggregate the data quickly, and can delete raw files after bronze is loaded).

6. Understanding Access

You need a way for ADF to be *allowed* to read/write your storage account. There are 3 common methods — know all 3 conceptually, you'll likely use #1 or #3.

Method	What it is	When to use
Account Key	A long secret password for the whole storage account (full access)	Quick learning/dev projects — simplest, but least secure (whoever has the key has full access)
SAS Token (Shared Access Signature)	A temporary, scoped key — "read-only access to this container for 7 days"	When you want limited/expiring access
Managed Identity	Azure automatically gives your ADF service its own "identity" that you grant permissions to (via RBAC roles) — no secrets/passwords involved at all	Production best practice — no keys to leak, ever

For this project: Start with **Account Key** to get moving fast (it's in Storage Account → "Access keys" in the portal). Once your pipeline works, **switch to Managed Identity** and mention this upgrade in your README/interview — it's a strong signal of security awareness.

Interview line: *"I initially used account key auth to get the pipeline working quickly, then migrated to Managed Identity so ADF authenticates to ADLS Gen2 without any stored secrets — this follows the principle of least privilege and avoids credential leakage risk."*

To set this up later: Storage Account → **Access Control (IAM)** → **Add role assignment** → role = **Storage Blob Data Contributor** → assign to → your Data Factory's managed identity.

7. What is Azure Data Factory (ADF)

The problem ADF solves

You need to download 12+ months × several years of NYC TLC parquet files and land them in ADLS Gen2, *without* manually clicking "download" hundreds of times, and ideally in a way that can repeat itself on a schedule.

You *could* write a Python script for this. So why use ADF instead?

- **ADF is a managed orchestration service** — it's built for exactly this: moving data from a source (NYC TLC's public URL) to a destination (ADLS Gen2), on a schedule, with retries, logging, and monitoring built in — with almost no code.
- It has a **visual, drag-and-drop pipeline builder** — this matters in real companies because non-engineers (analysts) can sometimes maintain simple pipelines too.
- It's **serverless** — you don't manage any servers; Microsoft runs the actual compute behind the scenes ("Integration Runtime").
- It has native **parameterization and looping**, which is exactly your requirement: "loop over months/years."

Interview line: *"I used ADF instead of a plain Python script because it gives me managed orchestration — built-in retry logic, monitoring, alerting, and scheduling — without provisioning any infrastructure. It's also the industry-standard orchestration tool in Azure data engineering stacks, so it directly translates to what I'd use on the job."*

ETL vs ELT — know this distinction

- **ETL** (Extract, Transform, Load): transform data *before* loading it into the destination.
- **ELT** (Extract, Load, Transform): load raw data first, transform *after*, inside the destination system.

This project is ELT. ADF's job in Week 1 is purely **E + L**: extract the parquet file from NYC's website, land it as-is into `raw/` in ADLS Gen2. **No transformation happens in ADF.** All transformation (cleaning, dedup, typing) happens later in Databricks (Bronze → Silver → Gold). This is the modern "ELT" pattern used in real data lakes, and you should say this explicitly in interviews — it shows you understand *why* the raw zone exists (it's your untouched, replayable source of truth).

8. The 4 ADF Building Blocks

Every ADF pipeline is made of these 4 concepts. Learn these words cold — this is 80% of the ADF interview vocabulary.

1. Linked Service — "the connection info"

Think of it as a saved connection string / credentials to a system. You'll create two:

- **Linked Service #1:** HTTP connection to NYC TLC's public data URL (source)
- **Linked Service #2:** Connection to your ADLS Gen2 storage account (destination), using the Account Key or Managed Identity from Section 6.

2. Dataset — "the shape of the data at a specific location"

A Dataset points to a *specific file or table*, using a Linked Service, and describes its format.

- **Dataset #1:** the source parquet file — built as a *parameterized* HTTP file (URL changes based on year/month — more in Section 10)
- **Dataset #2:** the destination file path in ADLS Gen2 — also parameterized (folder path changes based on year/month)

3. Activity — "a single step/task"

An Activity is one action inside a pipeline. You'll mainly use:

- **Copy Activity:** copies data from a source dataset to a sink (destination) dataset. This is your core "download and land the file" step.
- **ForEach Activity:** loops over a list of values (e.g., all 12 months) and runs an inner activity (the Copy Activity) once per item.

4. Pipeline — "the whole workflow"

A Pipeline is the container that holds and sequences your Activities. Your pipeline for Week 1 will basically be:

```
Pipeline: pl_ingest_nyc_tlc
├── ForEach Activity (loops over a list of year-month combos)
│   └── Copy Activity (downloads that month's parquet → lands in raw/)
```

Integration Runtime (IR) — the "engine" behind the scenes

You don't design this much, but know what it is: the actual compute that executes your pipeline. For this project, the **default "AutoResolveIntegrationRuntime"** (Azure-managed, serverless) is enough — you'd only build a **Self-Hosted IR** if you needed ADF to reach data sitting inside a private on-prem network, which isn't your case here.

9. Building the Pipeline: Step-by-Step

Step 1 — Create the Data Factory resource

- Portal → search "Data factories" → + **Create**
- Resource group: `rg-nyctlc-project`
- Name: `adf-nyctlc-project`
- Region: same as before
- Version: **V2** (V1 is legacy, don't use it)

- Create → once deployed, click "**Launch Studio**" — this opens the actual visual pipeline builder (a separate web app: adf.azure.com)

Step 2 — Create the HTTP Linked Service (source)

In ADF Studio → **Manage** (toolbox icon on left) → **Linked Services** → + **New**

- Type: **HTTP**
- Base URL: `https://d37ci6vzurychx.cloudflound.net/trip-data/` (NYC TLC's actual public data host — verify the current base URL on the TLC page before using, providers occasionally change hosting)
- Authentication type: **Anonymous** (it's a public dataset, no login needed)

Step 3 — Create the ADLS Gen2 Linked Service (destination)

Same **Linked Services** area → + **New**

- Type: **Azure Data Lake Storage Gen2**
- Authentication: Account Key (for now — pick your storage account from the dropdown, Azure auto-fills the key) — later upgrade to Managed Identity

Step 4 — Create the Source Dataset (parameterized)

Author tab → **Datasets** → + **New Dataset** → choose **HTTP** → format: **Binary** (parquet files are binary at this stage; you're not parsing them, just copying the raw bytes)

- Link it to your HTTP Linked Service
- Add **Parameters** to this dataset: `p_year` (string), `p_month` (string)
- Set the **Relative URL** field using dynamic content (the fx icon):

```
yellow_tripdata_@{dataset().p_year}-@{dataset().p_month}.parquet
```

This means: if `p_year = 2023` and `p_month = 01`, the file requested is `yellow_tripdata_2023-01.parquet` — exactly NYC TLC's real naming pattern.

Step 5 — Create the Sink Dataset (parameterized)

Another new Dataset → **Azure Data Lake Storage Gen2** → format: **Binary**

- Add the same parameters: `p_year`, `p_month`
- Set the **File path** using dynamic content:

```
datalake/raw/yellow_tripdata/@{dataset().p_year}/@{dataset().p_month}/  
yellow_tripdata_@{dataset().p_year}-@{dataset().p_month}.parquet
```

This automatically creates the folder structure you designed in Section 4 as files land.

Step 6 — Build the Pipeline

Author → **Pipelines** → + **New Pipeline** → name it `pl_ingest_nyc_tlc`

Drag a **Copy Data** activity onto the canvas:

- Source: your HTTP dataset → pass values for p_year/p_month (for now, hardcode 2023 / 01 to test)
- Sink: your ADLS Gen2 dataset → same parameter values
- Click **Debug** to test run it once. Check your storage account — you should see the file land in raw/yellow_tripdata/2023/01/.

Once this single-file copy works, move to Section 10 to make it loop.

10. Parameterization — Making It Loop Over Months/Years

This is the part your project description calls your "**first automation win.**" Here's exactly how and why.

Why hardcoding is bad

If you hardcode 2023/01 into the pipeline, you'd need to manually edit and re-run it 60+ times for 5 years of data. That's not automation — that's just clicking a button 60 times. Parameterization + looping means you define the pipeline **once**, and it works for any month/year you feed it.

Step 1 — Add Pipeline Parameters (optional but clean)

At the pipeline level, you can define top-level parameters like p_start_year, p_end_year if you want full control. For simplicity, many people just hardcode the list of months to loop over directly in a variable (see Step 2).

Step 2 — Add a Pipeline Variable holding your list of months

Variables tab (bottom of pipeline canvas) → + **New**

- Name: v_month_list
- Type: Array
- Default value (example, one year):

```
["2023-01", "2023-02", "2023-03", "2023-04", "2023-05", "2023-06",  
"2023-07", "2023-08", "2023-09", "2023-10", "2023-11", "2023-12"]
```

Step 3 — Add a ForEach Activity

Drag a **ForEach** activity onto the canvas (before or wrapping your Copy Activity).

- **Items** field → dynamic content:

```
@variables('v_month_list')
```

- Inside the ForEach's "Activities" canvas (double-click to go inside), place your **Copy Data** activity from Step 9.

Step 4 — Split year and month from each loop item, and feed the datasets

Inside the ForEach, each loop iteration gives you `@item()` — a string like "2023-01". You need to split it:

- For the source dataset's `p_year` parameter, use:

```
@split(item(), '-')[0]
```

- For `p_month`:

```
@split(item(), '-')[1]
```

This splits "2023-01" into ["2023", "01"] and picks out each piece.

Step 5 — Publish and Debug

Click **Publish All** (saves your pipeline), then **Debug** (or **Add Trigger** → **Trigger Now** for a real run). Watch the **Output** tab — you'll see each ForEach iteration run and either succeed (green check) or fail (red X) individually, which is great for troubleshooting one bad month without re-running everything.

Interview line (this is your "automation" talking point): *"I parameterized both my source and sink datasets so the pipeline is completely generic — it doesn't know or care which month it's copying. I drive it with a ForEach activity iterating over an array of year-month strings, so adding 5 more years of data is a one-line change to an array, not a pipeline redesign. This is the same pattern used for production incremental-load pipelines."*

Bonus: Scheduling (mention even if you don't run it live)

Triggers → + **New** → **Schedule** trigger → e.g., "run on the 5th of every month" (since TLC publishes each month's data a few days after month-end). You don't need to leave this running for a portfolio project (it'll rack up executions), but **building and explaining it** shows you understand production scheduling.

11. Running, Monitoring, and Debugging

- **Monitor tab** (left sidebar in ADF Studio) → shows every pipeline run, its duration, and status (Succeeded/Failed/InProgress).
- Click into a failed run → it tells you exactly which activity failed and the error message (e.g., "404 Not Found" usually means the URL pattern or year/month value was wrong).
- Common issues you'll likely hit (and what they teach you): | Error | Cause | Fix | ---|---|---| | 404 on HTTP source | Wrong file naming pattern or that month's file doesn't exist yet on TLC's site | Double check TLC's actual current URL format | | 403 on ADLS sink | Storage key/permissions not set correctly | Recheck Linked Service credentials or IAM role assignment | | ForEach very slow | Running iterations one-by-one (sequential) instead of parallel | Set **Batch Count** in ForEach settings to run several months concurrently (start

small, e.g., 4, to avoid throttling) |

Interview line: *"I used ADF's Monitor tab to debug failed runs at the individual activity level rather than re-running the whole pipeline — this let me isolate a bad URL pattern for one specific month without wasting compute reprocessing months that already succeeded."*

12. Interview Cheat Sheet

Quick answers you should be able to give fluently after finishing this:

Q: Walk me through your ingestion pipeline.

"I built an ADF pipeline that pulls NYC TLC's monthly parquet files from their public HTTP endpoint and lands them untouched into a `raw` zone in ADLS Gen2. It's parameterized — a ForEach activity loops over an array of year-month strings, and both my source and sink datasets use those as parameters to dynamically build the file URL and destination path. This means scaling from 1 month to 5 years of data is a one-line array change."

Q: Why ADLS Gen2 instead of regular Blob Storage?

"ADLS Gen2 adds a hierarchical namespace on top of Blob Storage, giving me real folder-level operations and better performance for Spark/Databricks, which is critical since I process this data downstream. It also lets me cleanly implement medallion zones — raw, bronze, silver, gold — as actual folders."

Q: Why not just write a Python script to download the files?

"I could have, but ADF gives me managed orchestration for free — retries, monitoring, scheduling, and parameterized looping — without provisioning or maintaining any infrastructure myself. It's also the standard tool in Azure data engineering stacks, so the skills transfer directly."

Q: How did you secure access between ADF and storage?

"Started with storage account key auth to move fast, then migrated to Managed Identity with a `Storage Blob Data Contributor` role assignment — so there's no secret key stored or rotated manually."

Q: What would you change for a production version of this pipeline?

"I'd add: a tumbling window trigger tied to TLC's actual publish schedule, alerting on failure (via Azure Monitor/Logic Apps), incremental/idempotent loads with a control table tracking which months are already ingested, and a Self-Hosted IR if the source were behind a private network."

13. Glossary (quick lookup)

Term	Meaning
Resource Group	A folder grouping related Azure resources for management/billing/cleanup
ADLS Gen2	Blob Storage + hierarchical namespace (real folders) + big-data-optimized access
Hierarchical Namespace	The setting that turns Blob Storage into a real data lake with folders
Container	Top-level "drive" inside a storage account
Linked Service	Saved connection info to a source or destination system in ADF
Dataset	A pointer to a specific file/table + its format, using a Linked Service
Activity	One task/step inside an ADF pipeline (e.g., Copy, ForEach)
Pipeline	The full workflow made of one or more Activities
Integration Runtime (IR)	The compute engine that actually executes ADF activities
ForEach Activity	Loops an inner activity over a list of items
Dynamic Content	ADF's expression language (@ . . .) for building values at runtime
ELT	Extract, Load, Transform — load raw data first, transform later (this project's pattern)
SAS Token	A temporary, scoped access credential
Managed Identity	An Azure-issued identity for a service, avoiding stored secrets
RBAC	Role-Based Access Control — granting permissions via named roles

Next Doc

Once this is working and you can explain every line above out loud without notes, move on to **Week 2-3: Databricks + Delta Lake + Spark performance tuning** — that's where the real "big data" interview substance comes from. Let me know when you're ready and I'll build that guide the same way.